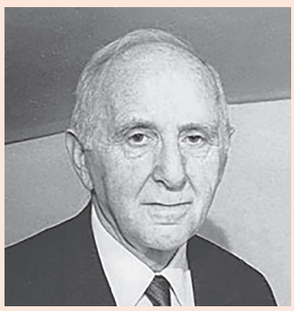
2.3 Definitions

"The labour and capital of a country acting on its natural resources produce annually a certain net aggregate of commodities, material and immaterial including services of all kinds. This is the true net annual income or revenue of the country or national dividend".

-Alfred Marshall.

GDP and its detractors.



Simon Kuznets, (Creator of GDP) 1932

The welfare of a nation can scarcely be inferred from a measurement of national income as defined by the GDP... goals for more growth should specify of what and for what.

"The net output of the commodities and services flowing during the year from the country's productive system into the hands of the ultimate consumers or into net addition to the country's stock of capital goods".

- Simon Kuznets.

2.4 Basic concepts of national income

The following are some of the concepts used in measuring national income.

2.4.1. GDP
2.4.2. GNP
2.4.3. NNP
2.4.4. NNP at factor cost
2.4.5. Personal Income
2.4.6. Disposable Income
2.4.7. Per capita Income
2.4.8. Real Income
2.4.9 GDP deflator

2.4.1. Gross Domestic Product (GDP)

GDP is the total market value of final goods and services produced within the country during a year. This is calculated at market prices and is known as GDP at market prices.

GDP by expenditure method at market prices = C + I + G + (X – M)

Where C – consumption goods;
I – Investment goods;
G – Government purchases;
X – Exports; M – Imports
(X – M) is net export which can be positive or negative.

a) Net Domestic Product (NDP)

NDP is the value of net output of the economy during the year. Some of the country's capital equipment wears out or becomes outdated each year during the production process. Thus

Net Domestic Product = GDP - Depreciation.

2.4.2 Gross National Product (GNP)

GNP is the total measure of the flow of final goods and services at market value resulting from current production in a country during a year, including net

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